ECON 2301 — Principles of Macroeconomics

Exam 3 Review — Form A

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35 multiple-choice questions, 1 point each. Same topics as Exam 3 with new numbers, graphs, and wording — a review, not the exam. Question 35 is select-all-that-apply.

Name: _____ Score: _____ / 35

1. In a pure barter economy, we would observe

A. money and goods exchanged for each other.
B. several competing units of money.
C. goods and services traded directly for other goods and services.
D. a large network of depository institutions.

2. When you tap your debit card to pay for a movie ticket, money is serving as a

A. store of value.
B. medium of exchange.
C. standard of deferred payment.
D. unit of account.

3. Money removes the need for a "double coincidence of wants" most directly through its role as a

A. store of value.
B. unit of account.
C. standard of deferred payment.
D. medium of exchange.

4. A $38,000 sticker price on a new SUV is an example of money serving as

A. a time deposit.
B. a unit of account.
C. a medium of exchange.
D. a store of value.

5. An online store lists a pair of running shoes at $120. In this case, money is serving as a

A. medium of exchange.
B. double coincidence of wants.
C. store of value.
D. unit of account.

6. When the inflation rate is high, which function of money is most severely damaged?

A. Store of value
B. Medium of exchange
C. Unit of account
D. Means of payment

7. U.S. currency consists of

A. government bonds held by the public.
B. all checking and savings deposits.
C. the notes and coins held by individuals and businesses.
D. the sum of M1 and M2.

8. Checking deposits at commercial banks are

A. money only because the FDIC insures them.
B. money.
C. not money because they are an intangible asset.
D. not money until they are converted into currency.

9. The money aggregate M1 consists of

A. currency, demand deposits, and other liquid deposits owned by individuals and businesses.
B. only demand deposits owned by individuals and businesses.
C. demand deposits, other liquid deposits, and Treasury bills.
D. currency and shares of bank stock.

10. Which of the following is included in M1?

A. The $150 in cash you used to buy concert tickets
B. The $150 Treasury bill you own
C. The $150 you charged on your credit card for concert tickets
D. The $150 loan you took out to buy concert tickets

11. Which of the following is part of M2?

A. Currency held inside a bank’s vault
B. None of these is part of M1 or M2.
C. Credit cards
D. Checks

12. A commercial bank places the funds it raises into

A. securities, cash assets, and loans.
B. loans, vault cash, and deposits.
C. reserves, deposits, and loans.
D. securities, cash assets, and deposits.

13. Monetary policy in the United States is conducted

A. by the Federal Reserve, the President, and Congress.
B. by the Federal Reserve, subject to a presidential veto.
C. only by the Federal Reserve.
D. by the Federal Reserve and the President.

14. The Chair of the Federal Reserve Board of Governors is appointed by

A. the presidents of the 12 regional Fed banks.
B. the President of the United States.
C. Congress.
D. the Board of Governors.

15. Which of the following is a tool the Fed uses to change the quantity of money?

A. The real interest rate
B. Government expenditure
C. Open market operations
D. Income tax rates

16. The discount rate is the interest rate

A. the FDIC pays on insured deposits.
B. banks charge their best customers.
C. banks charge each other on overnight loans.
D. the Fed charges on its loans to commercial banks.

17. When the Fed makes an open market purchase of government securities,

A. banks' total assets decrease.
B. banks' reserves increase.
C. banks buy government securities from the Fed.
D. banks' reserves decrease and their securities increase.

18. Commercial banks create money by

A. collecting loan repayments.
B. printing Federal Reserve notes.
C. exchanging their reserves at the Fed for currency.
D. making loans.

19. A commercial bank's required reserves are

A. only the bank's deposits at the Fed.
B. the minimum reserves a bank must hold against its deposits.
C. the reserves a bank plans to keep in its vault.
D. the cash used by bank tellers.

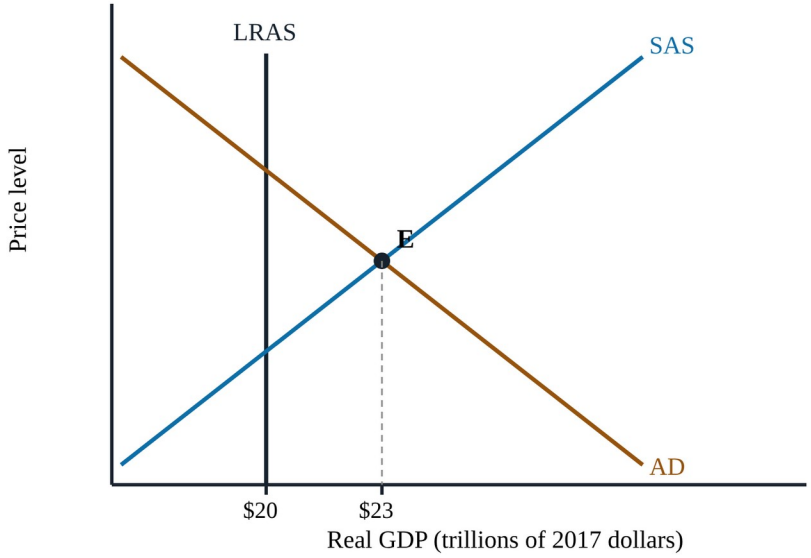
20. A medium of exchange is

A. the good traded when barter takes place.
B. a measure in which prices are expressed.
C. an object that sellers generally accept as payment.
D. an asset used to settle debts in the future.

21. The "double coincidence of wants" problem is

A. created by the use of money.
B. present in every economic system.
C. solved under a barter system.
D. solved by the use of money.

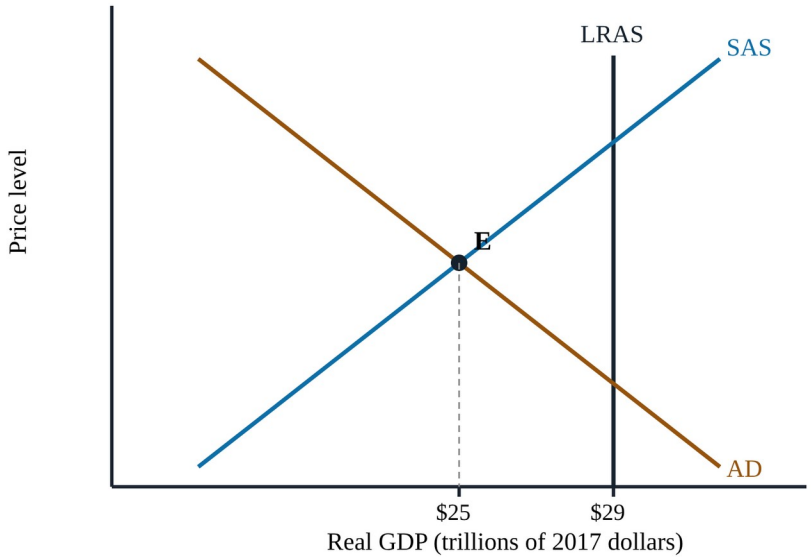
Question 22



The economy in the graph above has an output gap. What is this gap called?

A. Inflationary gap
B. Depressionary gap
C. Recessionary gap
D. Stagflation gap

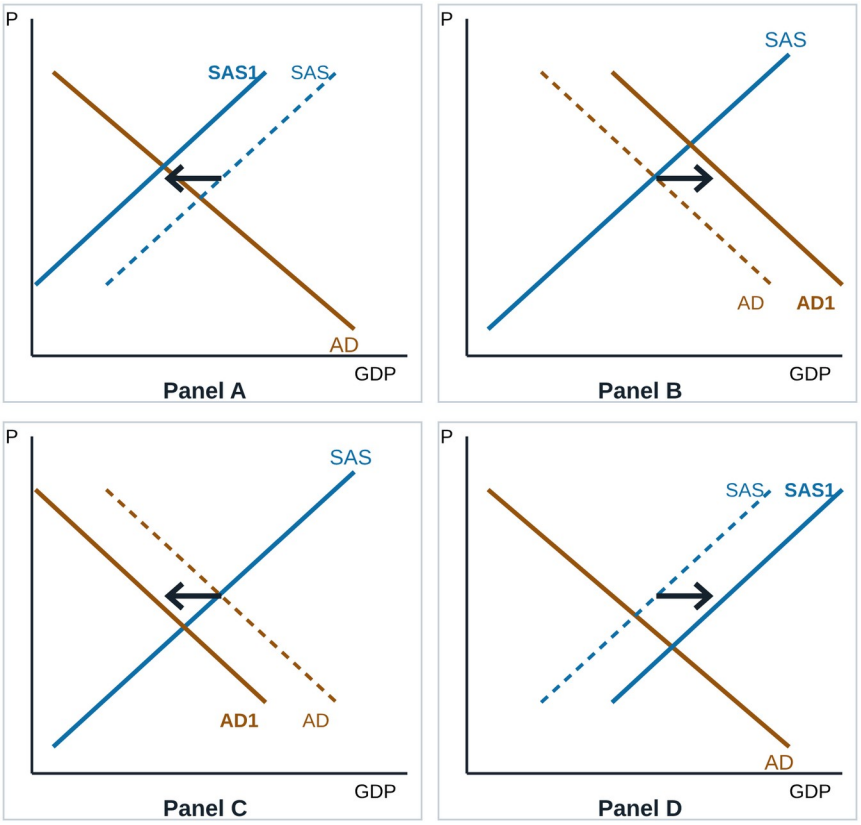
Question 23



The economy in the graph above has an output gap. What is this gap called?

A. Depressionary gap
B. Inflationary gap
C. Stagflation gap
D. Recessionary gap

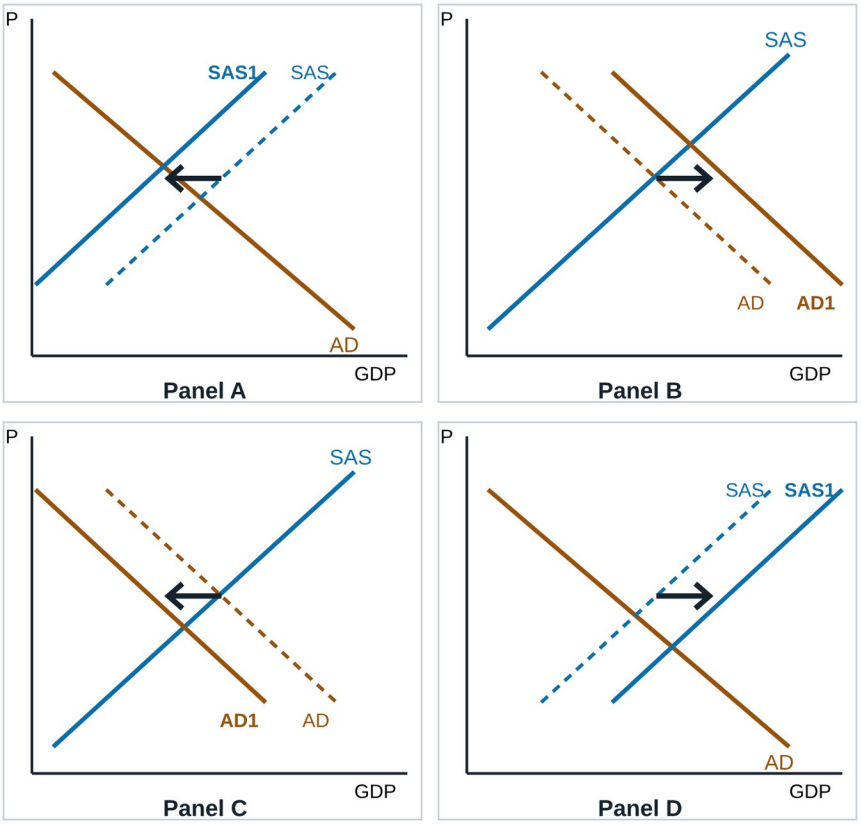
Question 24



In the four panels above, which panel shows the start of a cost-push inflation?

A. Panel A
B. Panel B
C. Panel C
D. Panel D

Question 25



In the four panels above, which panel shows the start of a demand-pull inflation?

A. Panel A
B. Panel B
C. Panel C
D. Panel D

26. Which of the following can start an inflation?

A. Neither a change in aggregate demand nor in aggregate supply
B. Only an increase in aggregate supply
C. Either an increase in aggregate demand or a decrease in aggregate supply
D. Only a decrease in aggregate demand

27. A demand-pull inflation begins with a shift of the

A. AD curve rightward.
B. AD curve leftward.
C. SAS curve leftward.
D. SAS curve rightward.

28. Demand-pull inflation can be started by

A. a decrease in exports.
B. an increase in the price of oil.
C. an increase in government expenditure.
D. a decrease in the quantity of money.

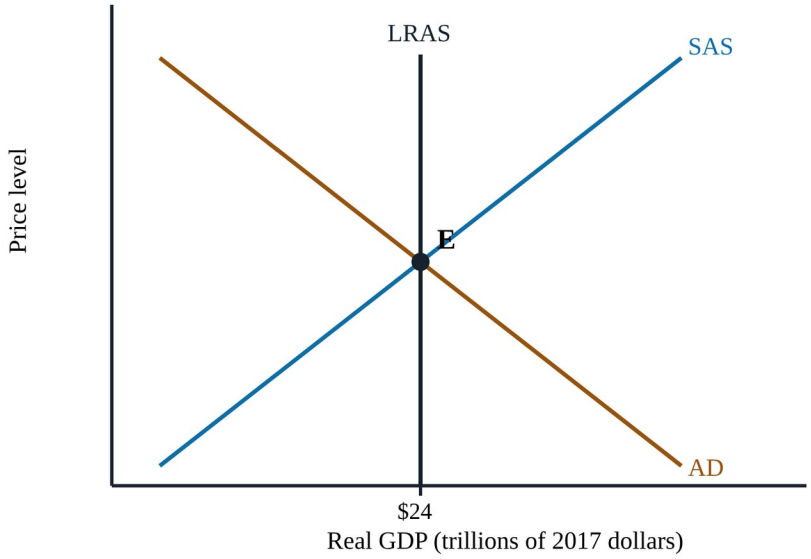
29. Cost-push inflation can start with

A. higher money wage rates.
B. an increase in transfer payments.
C. an increase in government expenditure.
D. lower income taxes.

30. Cost-push inflation can also start with

A. an increase in the price of oil.
B. a decrease in the quantity of money.
C. an increase in government expenditure.
D. a decrease in investment.

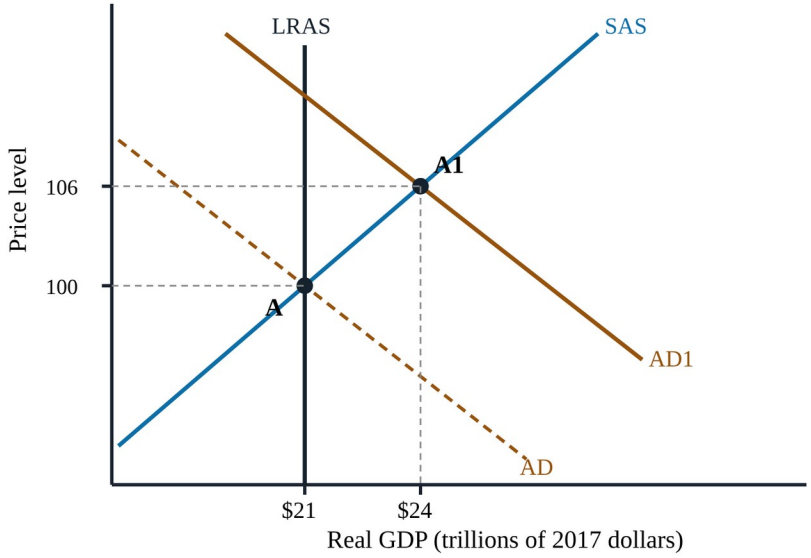
Question 31



Point E in the graph above represents

A. a recessionary gap.
B. a full-employment equilibrium.
C. an inflationary gap.
D. stagflation.

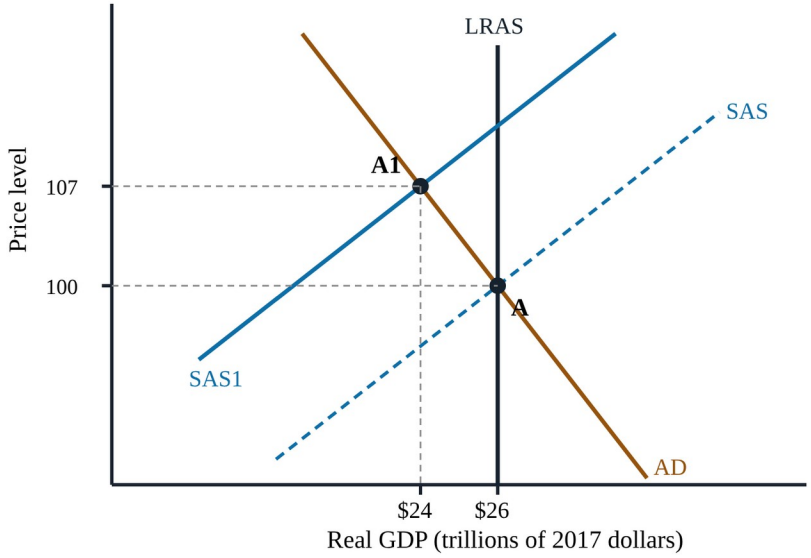
Question 32



The rise in the price level from 100 to 106 in the graph above represents

A. cost-push inflation.
B. a full-employment equilibrium.
C. a recession.
D. demand-pull inflation.

Question 33



The rise in the price level from 100 to 107 in the graph above represents

A. an inflationary gap.
B. a full-employment equilibrium.
C. demand-pull inflation.
D. cost-push inflation.

34. The short-run Phillips curve shows an inverse relationship between

A. potential GDP and real GDP.
B. the inflation rate and real GDP.
C. the inflation rate and the unemployment rate.
D. the inflation rate and potential GDP.

35. At a full-employment equilibrium (select ALL that are true): (Select ALL that are true.)

☐ A. Real GDP equals potential GDP.
☐ B. Cyclical unemployment is zero.
☐ C. Some frictional and structural unemployment is still present.
☐ D. The economy is not in an expansion or a recession.